

Meaning of Business Environment

The 'business environment' refers to the sum total of all individuals, institutions, and other forces outside a business enterprise's control that may affect its performance. As one writer puts it, "Just take the universe, subtract from it the subset that represents the organisation, and the remainder is environment." This includes economic, social, political, technological, and other forces operating outside a business enterprise.

Features of Business Environment

- (i) Totality of external forces: Business environment encompasses the sum total of all external factors affecting business firms, making it aggregative in nature.
- (ii) Specific and general forces:
 - Specific forces (investors, customers, competitors, suppliers) directly and immediately affect individual enterprises.
 - General forces (social, political, legal, technological conditions) broadly impact all business enterprises.
- (iii) Inter-relatedness: Different elements of the business environment are closely inter-related.
- (iv) Dynamic nature: The business environment is constantly changing.
- (v) Uncertainty: It is largely uncertain, making future predictions difficult, especially with rapid changes.
- (vi) Complexity: Comprising numerous interrelated and dynamic conditions, it is difficult to grasp as a whole, though easier to understand in parts.
- (vii) Relativity: Business environment is a relative concept, varying from country to country and even region to region.

Importance of Business Environment

- (i) Identifying opportunities and getting the first mover advantage: Early identification of opportunities helps an enterprise exploit them before competitors.
- (ii) Identifying threats and early warning signals: Environmental awareness helps managers recognize external trends and changes that could hinder performance, serving as an early warning.
- (iii) Tapping useful resources: The environment is a source of resources for business operations. Policies should be designed to acquire necessary inputs and convert them into desired outputs.
- (iv) Coping with rapid changes: Understanding and examining the dynamic business environment allows managers to develop suitable courses of action to effectively cope with significant changes.
- (v) Assisting in planning and policy formulation: Understanding and analyzing the environment provides a basis for future planning and policy-making decisions.
- (vi) Improving performance: Continuously monitoring the environment and adopting suitable business practices leads to improved present performance and sustained success in the market.

Dimensions of Business Environment



Dimensions of Business Environment Chart

- (i) Economic Environment: Includes economic factors like interest rates, inflation, changes in disposable income, stock market indices, and exchange rates, which affect management practices.

Components of Economic Environment

- Existing structure of the economy (relative role of private and public sectors).
- Growth rates of GNP and per capita income.
- Rates of saving and investment.
- Volume of imports and exports.
- Balance of payments and foreign exchange reserves.
- Agricultural and industrial production trends.
- Expansion of transportation and communication facilities.
- Money supply in the economy.
- Public debt (internal and external).
- Planned outlay in private and public sectors.

- (ii) Social Environment: Encompasses social forces like customs, traditions, values, social trends, and employment practices.

Major Elements of Social Environment

- Attitudes towards product innovations, lifestyles, occupational distribution, and consumer preferences.
- Concern with quality of life.
- Life expectancy.

- Expectations from the workforce.
- Shifts in the presence of women in the workforce.
- Birth and death rates.
- Population shifts.
- Educational system and literacy rates.
- Consumption habits.
- Composition of family.

- (iii) Technological Environment: Involves forces related to scientific improvements and innovations, leading to new ways of producing goods and services, and new operating methods and techniques.

- (iv) Political Environment: Includes political conditions such as general stability, peace, and attitudes of elected government representatives towards business.

Major Elements of the Political Environment

- Prevailing political system.
- Degree of politicization of business and economic issues.
- Dominant ideologies and values of major political parties.
- Nature and profile of political leadership.
- Level of political morality.
- Political institutions (government and allied agencies).
- Political ideology and practices of the ruling party.
- Extent and nature of government intervention in business.
- Nature of relationship with foreign countries.

- (v) Legal Environment: Comprises various legislations, orders, court judgments, and decisions by commissions and agencies at all levels of government (centre, state, local).

Impact of Demonetisation (Example)

Demonetisation in India (Nov 8, 2016) had profound implications:

- Money/Interest rates: Declined in cash transactions, increased bank deposits, increased financial savings.
- Private wealth: Declined as some demonetised notes were not returned and real estate prices fell.
- Public sector wealth: No effect.
- Digitisation: Digital transactions increased, especially among new users (RuPay/AEPS).
- Real estate: Prices declined.
- Tax collection: Rise in income tax collection due to increased disclosure.